IS 4108- IS Strategies

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LECTURE 08- MANAGING THE PORTFOLIO OF BUSINESS APPLICATIONS

Application Portfolio Management?

- Managing a business application portfolio (APM) involves evaluating, optimizing, and governing software assets to align with organizational goals.

- The core objective is to identify redundancies, reduce costs, and determine which apps to invest in, modernize, replace, or retire.

Application Portfolio Management?

APM is the strategic process of governing a company’s collection of software applications.

It involves creating an inventory of all your software and continuously evaluating each application based on its cost, technical health, and business value.

What is to Manage?

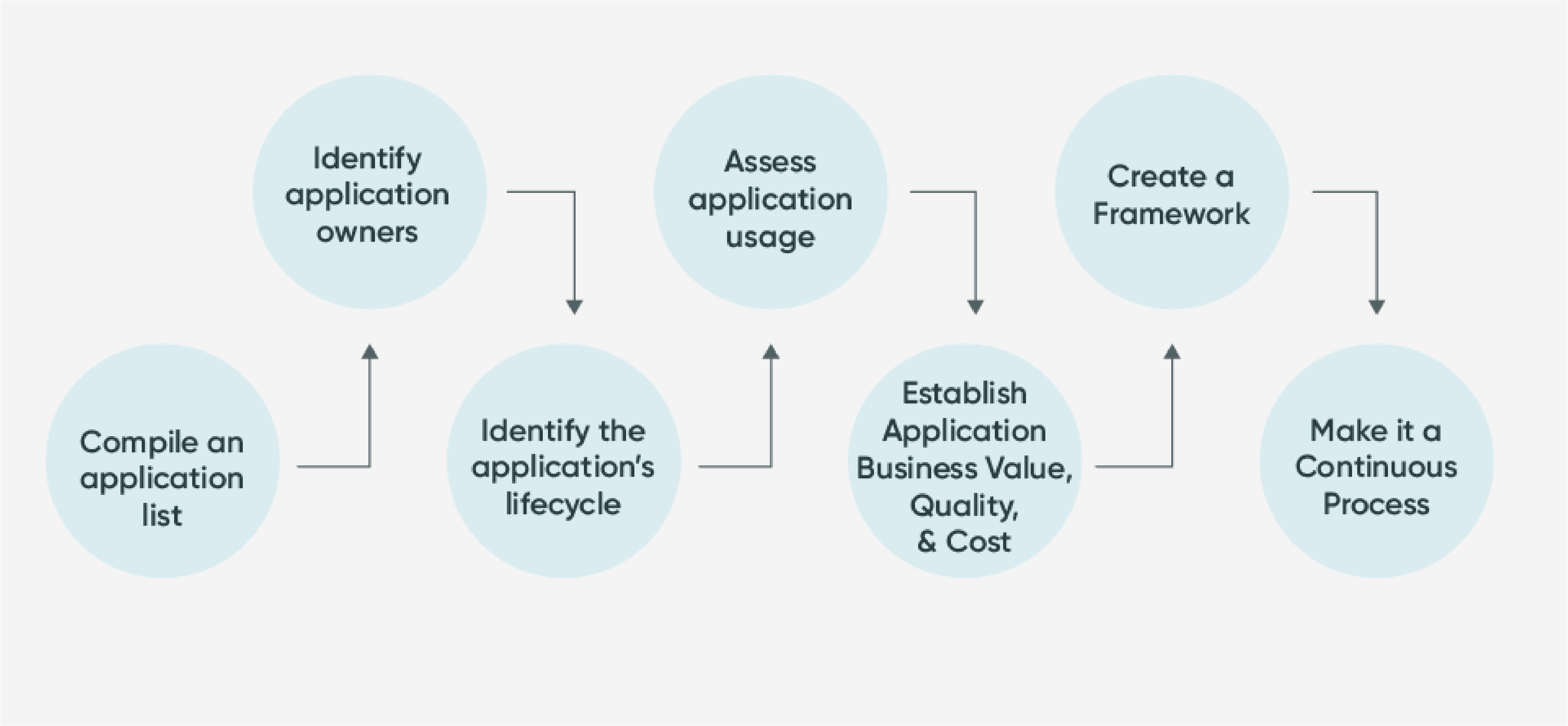
The complete set of software applications used within an organization.

Ex:

- ERP systems
- CRM systems
- HR management systems
- Finance systems
- Learning Management Systems (LMS)
- Mobile applications

Feature	Application Portfolio Management (APM)	General Portfolio Management (e.g., PPM)
Focus	Software applications and digital assets.	Strategic business initiatives, projects, or products.
Primary Scope	IT and specific software health.	Enterprise-wide strategic alignment.
Relationship	APM is the tactical management of specific technical tools.	General portfolio management utilizes APM data to understand where to invest time and budget.

Key Activities in APM



Key Activities in APM cont.

1. Application Inventory

Creating a list of all applications in the organization.

- Application name
- Purpose
- Users
- Cost
- Owner
- Technology used

Key Activities in APM cont.

2. Application Assessment

Evaluate the,

- Business value
- Technical quality
- Security
- User satisfaction
- Maintenance cost

Key Activities in APM cont.

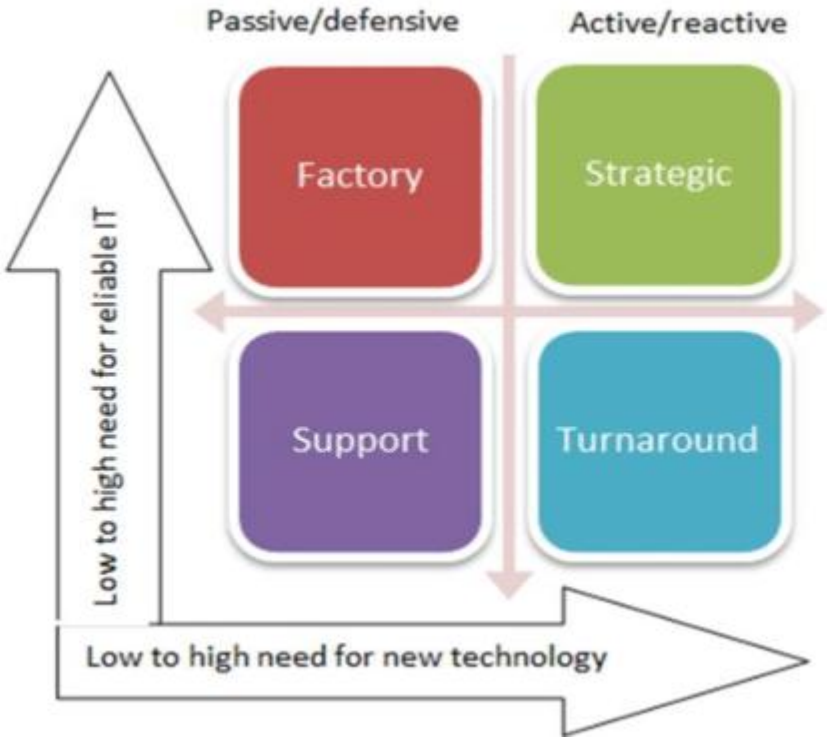
3. Categorization

Applications may be classified as;

- Strategic applications
- Operational applications
- Legacy systems
- Redundant systems

Application Portfolio Matrix

McFarlan Strategic Grid



When a company uses IT to obtain both operational and competitive benefits through information and its IT, it is located in the **Strategic** quadrant of the Grid.

When IT contributes to operational efficiency and reliable service delivery, the organization is in the **Factory** quadrant of the grid

The **Support** quadrant is where the company is the least dependent on IT/ICT, i.e., where few operational benefits are being achieved from the organization's IT

The **Turnaround** quadrant is where investment is new systems promise major process and service efficiencies, cost reduction and enhanced or new markets.

Application Portfolio Matrix

McFarlan Strategic Grid

Applications are categorized based on business impact.

Category	Description
Strategic	Critical for future competitive advantage
High Potential	Emerging applications with future value
Key Operational	Essential for daily operations
Support	Low-impact support applications

Ex:

- Recommendation systems → Strategic
- Billing systems → Key Operational
- Internal communication tools → Support

Key Activities in APM cont.

4. Decision-Making

Organizations decide whether to;

- Retain
- Upgrade
- Replace
- Retire applications

Why APM is Important?

- Reduces IT costs
- Eliminates redundant systems
- Improves operational efficiency
- Aligns applications with business strategy
- Supports digital transformation
- Improves decision-making and governance

Why APM is Important?

CONSOLIDATED VENDORS

Relying on excessive vendors takes more money than a consolidated portfolio. Application assessment helps rationalize your tech stack in terms of strategic value, which often helps reduce the number of providers or having to seek cost-effective alternatives.

SOFTWARE LICENSE OPTIMIZATION

Default settings for enterprise-grade software can be costly and complex. Governance offers opportunities to save money with software reconfiguring and recovering unused license rights to avoid spending money on new purchases.

REDUCED COSTS

You can identify unused software and redundant applications that perform similar or identical functions. It reduces legacy overhead, directs more resources to critical applications, and, consequently, decreases IT infrastructure costs.

BUSINESS PROCESS IMPROVEMENTS

Portfolio management helps prioritize projects and associated applications based on significance and available resources.

HIGH-LEVEL CLARITY

This provides your senior managers and tech leads with more data to make better business decisions. You'll understand where to invest in addressing gaps, planning upgrades and migrations, and which applications to discard.

COMPLIANCE AND SECURITY

You can discover which applications offer exposure to non-compliance and identify vulnerabilities in your software. This will make your systems more secure and stable, improving uptime.